Docusign Envelope ID: 1018542B-4E40-40DA-8666-D8912B251F31

HVO AI PTE. LTD.

(Company Registration No.: 202108426M)

UNAUDITED FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2024

Docusign Envelope ID: 1018542B-4E40-40DA-8666-D8912B251F31

HVO AI PTE. LTD.

(Incorporated in the Republic of Singapore)

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HVO AI PTE. LTD.

DIRECTORS' STATEMENT
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2024

The directors present this report to the members together with the unaudited financial statements of the company for the financial year ended 31 December 2024.

1. OPINIONS OF THE DIRECTORS

In the opinion of the directors,

(a) the financial statements of the Company are drawn up so as to give a true and fair view of the financial position of the Company as at 31 December 2024 and the financial performance, changes in equity and cash flows of the company for the financial year ended 31 December 2024; and

(b) at the date of this statement, there are reasonable grounds to believe that the Company will be able to pay its debts as and when they fall due.

The Board of Directors approved and authorized these financial statements for issue.

2. DIRECTORS

The directors in office at the date of this report is: -

Chen LunYao
Shen DongXiong
Zhou HongHai
Tan Thian Ghee

3. ARRANGEMENTS TO ENABLE DIRECTORS TO ACQUIRE SHARES AND DEBENTURES

Neither at the end of nor at any time during the financial year was the Company a party to any arrangement whose objects are, or one of whose objects is, to enable the directors of the Company to acquire benefits by means of the acquisition of shares in, or debentures of, the Company or any other body corporate.

4. DIRECTORS' INTERESTS IN SHARES AND DEBENTURES

According to the register of directors' shareholdings kept under Section 164 of the Companies Act 1967 (the Act), the directors of the Company who held office at the end of the financial year had no interests in the shares or debentures of the Company and its related corporations except as stated below: -

	No. of ordinary shares	
	Direct interest	
Name of Director	At 01/01/2024	At 31/12/2024
Chen LunYao	490,000	490,000
Shen DongXiong	490,000	490,000
Zhou HongHai	20,000	20,000

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5. SHARE OPTIONS

There were no share options granted during the financial year to subscribe for unissued shares of the Company.

There were no shares issued during the financial year by virtue of the exercise of options to take up unissued shares of the Company.

There were no unissued shares of the Company under option at the end of the financial year.

6. AUDIT EXEMPTION

The financial statements for the financial year ended 31 December 2024 were not audited as the Company meets the audit exemption requirement under the Singapore Companies Act, Cap. 50.

The Company is a small Company exempt from audit for its financial year ended 31 December 2024 since it meets the requirements of not exceeding revenue/assets of $10 million and/or 50 employees for the period and in the manner stated in section 205C of the Companies Act;

No notice has been received from any member under Section 205B(6) or Section 205C(2) of the Act requiring the Company to obtain an audit of its financial statements in relation to the financial period.

The accounting and other records required to be kept by the Company in accordance with Section 199 of the Act have been so kept.

On behalf of The Board of Directors

Signed by:
Chen Lunyao
A988A85B1F8C456...

Chen LunYao
DIRECTOR

签署人：
SDX
02GD7B46D6644FD...

Shen DongXiong
DIRECTOR

DATE:
SINGAPORE

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HVO AI PTE. LTD.

STATEMENT OF FINANCIAL POSITION
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2024

	Note	2024 S$	2023 S$
ASSETS			
Current assets			
Other receivables	**4**	21,661	-
Cash and cash equivalents	**5**	870,979	955,996
Total assets		892,640	955,996
EQUITY AND LIABILITIES			
Current liabilities			
Trade payable		70,790	-
Accruals		3,200	2,520
Amount owing to director	**6**	348,197	8,355
Current liabilities		422,187	10,875
NET TOTAL ASSETS		470,453	945,121
Capital and reserves			
Share capital	**7**	1,348,251	1,218,509
Accumulated losses		(877,798)	(273,388)
		470,453	945,121

The accompanying notes form an integral part of these financial statements.

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HVO AI PTE. LTD.

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2024

	Note	2024	2023
		S$	S$
Revenue	8	336,945	-
Cost of services		-	-
Gross profit		336,945	-
Other Income		2,000	-
Operating expenses			
Administrative and other expenses		(943,355)	(152,853)
Loss before taxation	9	(604,410)	(152,853)
Taxation	10	-	-
Loss for the financial year, representing total comprehensive income for the financial year		(604,410)	(152,853)

The accompanying notes form an integral part of these financial statements.

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HVO AI PTE. LTD.

STATEMENT OF CHANGES IN EQUITY
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2024

	Share Capital	Accumulated Losses	Total Equity
	S$	S$	S$
As At 01/01/2023	747,694	(120,535)	627,159
Increased Paid Up Capital	470,815	-	470,815
Total Comprehensive Income	-	(152,853)	(152,853)
Balance at 31 December 2023	1,218,509	(273,388)	945,121
Increased Paid Up Capital	129,742	-	129,742
Total Comprehensive Income	-	(604,410)	(604,410)
Balance at 31 December 2024	1,348,251	(877,798)	470,453

The accompanying notes form an integral part of these financial statements.

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HVO AI PTE. LTD.

STATEMENT OF CASH FLOWS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2024

	2024	2023
	S$	S$
Cash flows from operating activities		
Net(loss)/profit before taxation	(604,410)	(152,853)
Adjustments: -		
Depreciation of fixed assets	-	-
Operating (loss)/profit before working capital changes	(604,410)	(152,853)
Movements in:		
Trade payable	70,790	
Other receivables	(21,661)	
Accruals	680	-
Net cash (used in)/from operating activities	(554,601)	-
INVESTING ACTIVITIES		
Increased paid-up capital	129,742	470,815
Amount due to directors	339,842	-
Net cash flow generated from investing activities	469,584	470,815
Net change in cash and cash equivalents	(85,017)	317,962
Cash and cash equivalents at beginning of year	955,996	638,034
Cash and cash equivalents at end of the year	870,979	955,996

The accompanying notes form an integral part of these financial statements.

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These notes form an integral part of and should be read in conjunction with the accompanying financial statements.

1. CORPORATE INFORMATION

HVO AI PTE. LTD. is domiciled and incorporated in the Republic of Singapore on with a registered office at 51 Goldhill Plaza, #02-07, Singapore 308900.

The principal activities of the Company are those of development of other software and programming activities and data analytics, processing and related activities. There have been no significant changes in the nature of these activities during the financial year.

2. MATERIAL ACCOUNTING POLICY INFORMATION

2.1 Basis of Preparation

The financial statements of the Company have been drawn up in accordance with Financial Reporting Standards in Singapore (FRSs). The financial statements have been prepared on the historical cost basis except as disclosed in the accounting policies below.

The financial statements are presented in Singapore dollars (S$) which is the Company's functional currency.

The financial statements of the Company have been prepared on the basis that it will continue to operate as a going concern.

2.2. Adoption of new and amended standards and interpretation

The Company has adopted all the new and amended standards which are relevant to the Company and are effective for the annual financial year beginning on 1 January 2024. The adoption of these standards did not have any material effect on the financial statements of the Company.

2.3 Standards issued but not yet effective

The Company has not adopted the standards applicable to the Company that have been issued but are not yet effective. The directors expects that the adoption of the standards above will have no material impact on the financial statements in the year of initial application.

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2. MATERIAL ACCOUNTING POLICY INFORMATION

2.4. Foreign currency transactions and balances

Transactions in foreign currencies are measured in the functional currency of the Company and are recorded on initial recognition in the functional currency at exchange rates approximating those ruling at the transaction dates. Monetary assets and liabilities denominated in foreign currencies are translated at the rate of exchange ruling at the reporting date. Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates as at the dates of the initial transactions.

Exchange differences arising on the settlement of monetary items or on translating monetary items at the end of the reporting period are recognised in profit or loss.

2.5 Financial instruments

(a) Financial assets

Initial recognition and measurement

Financial assets are recognised when, and only when the entity becomes party to the contractual provisions of the instruments.

At initial recognition, the Company measures a financial asset at its fair value plus, in the case of a financial asset not at fair value through profit or loss (FVPL), transaction costs that are directly attributable to the acquisition of the financial asset. Transaction costs of financial assets carried at FVPL are expensed in profit or loss.

Trade receivables are measured at the amount of consideration to which the Company expects to be entitled in exchange for transferring promised goods or services to a customer, excluding amounts collected on behalf of third party, if the trade receivables do not contain a significant financing component at initial recognition.

Subsequent measurement

Equity instruments

On initial recognition of an investment in equity instruments that is not held for trading, the Company may irrevocably elect to present subsequent changes in fair value in other comprehensive income which will not be reclassified subsequently to profit or loss. Dividends from such investments are to be recognised in profit or loss when the Company's right to receive payments is established, except when the Company benefits from such proceeds as a recovery of part of the cost of the financial asset, in which case, such gains are recorded in other comprehensive income.

For investments in equity instruments which the Company has not elected to present subsequent changes in fair value in other comprehensive income, changes in fair value are recognised in profit or loss.

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2. MATERIAL ACCOUNTING POLICY INFORMATION

2.5 Financial instruments (cont'd)

(a) Financial assets

Loans and receivables

Non-derivative financial assets with fixed or determinable payments that are not quoted in an active market are classified as loans and receivables. Subsequent to initial recognition, loans and receivables are measured at amortised cost using the effective interest method, less impairment. Gains and losses are recognised in profit or loss when the loans and receivables are derecognised or impaired, and through the amortisation process.

Derecognition

A financial asset is derecognised where the contractual right to receive cash flows from the asset has expired. On derecognition of a financial asset in its entirety, the difference between the carrying amount and the sum of the consideration received and any cumulative gain or loss that had been recognised in other comprehensive income for debt instruments is recognised in profit or loss.

(b) Financial liabilities

Initial recognition and measurement

Financial liabilities are recognised when, and only when, the Company becomes a party to the contractual provisions of the financial instrument. The Company determines the classification of its financial liabilities at initial recognition.

All financial liabilities are recognised initially at fair value plus in the case of financial liabilities not at FVPL, net of directly attributable transaction costs.

Subsequent measurement

After initial recognition, financial liabilities that are not carried at FVPL are subsequently measured at amortised cost using the effective interest method. Gains and losses are recognised in profit or loss when the liabilities are derecognised, and through the amortisation process.

Derecognition

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expires. On derecognition, the difference between the carrying amounts and the consideration paid is recognised in profit or loss

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2. MATERIAL ACCOUNTING POLICY INFORMATION (cont'd)

2.6 Impairment of financial assets

The Company recognises an allowance for expected credit losses (ECLs) for all debt instruments not held at FVPL. ECLs are based on the difference between the contractual cash flows due in accordance with the contract and all the cash flows that the Company expects to receive, discounted at an approximation of the original effective interest rate. The expected cash flows will include cash flows from the sale of collateral held or other credit enhancements that are integral to the contractual terms.

2.7 Provisions

Provisions are recognised when the Company has a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of economic resources will be required to settle the obligation and the amount of the obligation can be estimated reliably.

Provisions are reviewed at the end of each reporting period and adjusted to reflect the current best estimate. If it is no longer probable that an outflow of economic resources will be required to settle the obligation, the provision is reversed. If the effect of the time value of money is material, provisions are discounted using a current pre-tax rate that reflects, where appropriate, the risks specific to the liability. When discounting is used, the increase in the provision due to the passage of time is recognised as a finance cost.

2.8 Cash and cash equivalents

Cash and cash equivalents comprise cash at banks which are subject to an insignificant risk of changes in value.

2.9 Taxes

(a) Current income tax

Current income tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the taxation authority. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted at the reporting date.

Current income taxes are recognised in profit or loss except to the extent that the tax relates to items recognised outside profit or loss, either in other comprehensive income or directly in equity. Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

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2. MATERIAL ACCOUNTING POLICY INFORMATION (cont'd)

2.10 Share capital

Proceeds from the issuance of ordinary shares are recognised as share capital in equity. Incremental costs directly attributable to the issuance of ordinary shares are deducted against share capital.

2.11 Revenue

Revenue is measured based on the consideration to which the Company expects to be entitled in exchange for transferring promised goods or services to a customer, excluding amounts collected on behalf of third parties.

Revenue is recognised when the Company satisfies a performance obligation by transferring a promised good or service to the customer, which is when the customer obtains control of the good or service. A performance obligation may be satisfied at a point in time or over time. The amount of revenue recognised is the amount allocated to the satisfied performance obligation

Rendering of services

Revenue from rendering of services is recognised when the service is rendered to and accepted by customers

2.12 Related parties

A related party is defined as follows:

(a) A person or a close member of that person's family is related to the Company if that person:

(i) Has control or joint control over the Company;

(ii) Has significant influence over the Company; or

(iii) Is a member of the key management personnel of the Company or of a parent of the Company.

(b) An entity is related to the Company if any of the following conditions applies:

(i) The entity and the Company are members of the same group (which means that each parent, subsidiary and fellow subsidiary is related to the others).

(ii) One entity is an associate or joint venture of the other entity (or an associate or joint venture of a member of a group of which the other entity is a member).

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2. MATERIAL ACCOUNTING POLICY INFORMATION (cont'd)

2.12 Related parties (cont'd)

(iii) Both entities are joint ventures of the same third party.

(iv) One entity is a joint venture of a third entity and the other entity is an associate of the third entity.

(v) The entity is a post-employment benefit plan for the benefit of employees of either the Company or an entity related to the Company. If the Company is itself such a plan, the sponsoring employers are also related to the Company;

(vi) The entity is controlled or jointly controlled by a person identified in (a);

3. SIGNIFICANT ACCOUNTING JUDGEMENTS AND ESTIMATES

The preparation of the Company's financial statements requires management to make judgements, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities, and the disclosure of contingent liabilities at the end of each reporting period. Uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of the asset or liability affected in the future periods.

3.1 Judgements made in applying accounting policies

(a) Determination of functional currency

In determining the functional currency of the Company, judgement is used by the Company to determine the currency of the primary economic environment in which the Company operates. Consideration factors include the currency that mainly influences sales prices of goods and services and the currency of the country whose competitive forces and regulations mainly determine the sales prices of its goods and services.

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4. OTHER RECEIVABLES

	2024	2023
	S$	S$
Deposits	2,510	-
Prepayment	19,151	-
	21,661	-

5. CASH AND CASH EQUIVALENTS

	2024	2023
	S$	S$
Cash at banks	870,979	955,996

6. AMOUNT DUE TO DIRECTORS

The amount due to directors is non-trade, unsecured, interest free and repayable on demand.

7. SHARE CAPITAL

	2024	2023
	S$	S$
Issued and paid:		
1,000,000 Ordinary shares	1,348,251	1,218,509

The holder of ordinary shares is entitled to receive dividends as declared from time to time and is entitled to one vote per share at meetings of the Company. All shares rank equally regarding the Company's residual assets.

The paid-up capital has increased from S$1,218,509 to S$1,348,251 during the financial year.

8. REVENUE

	2024	2023
	S$	S$
Revenue recognized at the point in time		
Service fee	336,945	-

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9. LOSS BEFORE TAXATION

	2024 S$	2023 S$
Loss before taxation has been arrived after charging:		
Accounting fees	2,000	1,720
Bank fees	351	313
Corporate secretarial fees	900	900
Exchange loss	(12,017)	1,667
General expenses	-	1,340
Office rental	3,765	-
Professional fees	1,340	-
Staff costs	867,631	142,813
Tax service fees	1,200	800

10. INCOME TAX EXPENSES

The major components of income tax expense recognised in profit or loss for the financial years ended 31 December were:

	2024 S$	**2023** S$
Current income tax		
- Current year	-	-

Reconciliation between tax expense and accounting loss

A reconciliation between tax expense and the product of accounting loss multiplied by the applicable corporate tax rate for the financial years ended 31 December 2024 and 31 December 2023 as follows:

	2024 S$	2023 S$
Loss before taxation	(604,410)	(152,853)
Tax at the applicable tax rate of 17%	(102,750)	(25,985)
Tax rebate and exemptions		-
Expense not deductible	2,339	-
Income exempted from tax	(340)	-
Deferred tax asset not recognised	100,751	25,985
	-	-

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11. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES

The Company is exposed to financial risks arising from its operations and the use of financial instruments. The key financial risks include foreign currency risk and interest rate risk. The Company's overall risk management programmer focuses on the unpredictability of financial markets and seeks to minimize potential adverse effects on the financial performance of the Company. The Company does not use derivative financial instruments.

The following sections provide details regarding the Company's exposure to the above-mentioned financial risks and the objectives, policies and processes for the management of these risks.

(a) Foreign currency risk

The Company has transactional currency exposures arising from interest income that are denominated in a currency other than the functional currency of the Company, primarily SGD. The Company ensures that the net exposure is kept to an acceptable level by buying or selling foreign currencies at spot rates where necessary, to address short-term balances.

12. FAIR VALUES

The carrying amounts of other receivables, cash and cash equivalents, trade and other payables, amount owing to director based on their notional amounts, reasonably approximate their fair values as they are subject to normal trade credit term and short term in nature.

There are no financial assets or liabilities that are required to be disclosed under the fair value hierarchy levels 1, 2 and 3 in the financial statements

13. CAPITAL MANAGEMENT

The primary objective of the Company's capital management is to ensure that it maintains a strong credit rating and net current asset position to support its business and maximize shareholder value. The capital structure of the Company comprises issued share capital and retained earnings.

In this regard, the director regularly reviews the Company's capital structure with a view for the Company to pay its debts as and when they fall due.

The Company is not subject to any externally imposed capital requirements. There were no changes in the Company's approach to capital management during the financial period.

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14. AUTHORISATION OF FINANCIAL STATEMEMENTS

The financial statements for the financial year ended 31 December 2024 were authorized for issue in accordance with a resolution of the Board of Directors of the Company on the date of the director's statement.

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THE ACCOMPANYING SUPPLEMENTARY STATEMENT OF PROFIT OR LOSS HAS BEEN PREPARED FOR MANAGEMENT PURPOSE ONLY AND DOES NOT FROM PART OF THE UNAUDITED FINANCIAL STATEMENTS

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HVO AI PTE. LTD.

(Incorporated in the Republic of Singapore)

SUPPLEMENTARY STATEMENT OF PROFIT OR LOSS

FOR THE FINANCIAL YEAR ENDED 31.12.2024

	2024 S$	2023 S$
REVENUE	336,945	-
COST OF SALES	-	-
GROSS PROFIT	336,945	-
OTHER INCOME	2,000	-
LESS OPERATING EXPENSES		
Accounting fees	2,000	1,720
Bank charges	351	313
Contractor expenses	64,945	-
Corporate secretarial fees	900	900
CPF contributions	69,250	12,665
Foreign exchange (Gains)/Losses	(12,017)	1,667
GST expenses	9,700	-
General expenses	-	1,340
Professional fees	1,340	-
Nominee director fees	3,300	3,300
Office expenses	240	-
Office rental	3,765	-
Salaries/Wages	775,325	129,997
SDL contributions	854	151
Staff insurance	22,202	-
Tax service fees	1,200	800
	(943,355)	(152,853)
Profit / (Loss) before tax from continuing operations	(604,410)	(152,853)